

The global context	International trade	• explain what is meant by international trade • distinguish between absolute and comparative advantage • calculate opportunity cost ratios to illustrate the gains from trade derived from absolute and comparative advantage • explain what is meant by the terms of trade • calculate the terms of trade • explain how the pattern of global trade has changed over time • evaluate comparative advantage as an explanation of global trade patterns • explain how countries achieve international competitiveness, considering productivity, unit labour costs, exchange rates and product quality.
	Balance of payments	• explain what is meant by the balance of payments • distinguish between the current account, capital account and financial account components of the balance of payments

Area of Study	Topic	Learners should be able to:
The global context	Balance of payments	• explain the components of the current account – trade in goods, trade in services and income and current transfers • calculate the balances on the different components on the balance of payments • explain what is meant by imbalances on the balance of payments • evaluate the causes of imbalances on the balance of payments • explain why achieving a sustainable balance of payments position is an important macroeconomic policy objective • evaluate the consequences of imbalances on the balance of payments • evaluate policies to correct imbalances on the balance of payments.
	Exchange rates	• explain what is meant by an exchange rate • explain, with the aid of a diagram, how exchange rates are determined in fixed and floating exchange rate systems • explain trends in exchange rate data • evaluate the causes of exchange rate changes • evaluate the consequences of exchange rate changes • explain what is meant by a hybrid exchange rate system and be able to provide current examples • evaluate the relative merits and drawbacks of different exchange rate systems • explain why some countries might manage their exchange rate to achieve international competitiveness • explain the Marshall-Lerner condition and the J-curve • evaluate the impact of exchange rate changes on international competitiveness • evaluate the effectiveness of changing the value of a currency to achieve macroeconomic policy objectives.

2d. Prior learning, knowledge and progression

No prior learning or knowledge of economics is required for taking the AS Level in Economics qualification. A qualification in GCSE Economics is available for those interested in a study of the qualification at Key Stage 4. Many other subjects supplement the study of economics which prides itself on being cross-curricular, and economics itself supplements the study of a number of subjects. Other social sciences such as sociology and psychology engage the learner to think about their personal circumstances and their role in society. History, geography, business, critical thinking, mathematics and the sciences can be taught cohesively and complement the study of economics. The study of any of these subjects can assist those learners studying economics to progress to Higher Education and employment.

Find out more about the OCR Economics offering, or other related qualifications, at